

Purpose

The purpose of this quick reference guide is to step through the process of creating a PAYG Payee Deduction record. The intended audience for this document are system administrators / standard users.

Steps

Create a new PAYG Payee Deduction record

The PAYG Payee Deduction record holds general information, Pay Code and Rates, Quantity Worked variations, Deduction Limits, recipient details and Deduction Statistics for a Payee Deduction Record.

Create a PAYG Payee Deduction by following the below steps:

1. Navigate to the **Payee** record.
 - a. To identify a Payee record from an Employee record, enter the Employee name into the **Global Search** (see Figure 1).
 - b. Select the **Employee** record from the suggestions provided.
 - c. Open the **Related** tab (see Figure 2).
 - d. Identify the **Payee** related list.
 - e. Select the **Payee** record.

Figure 1

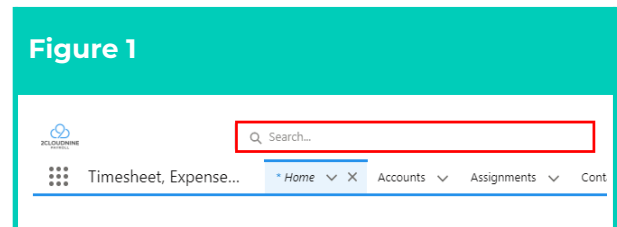
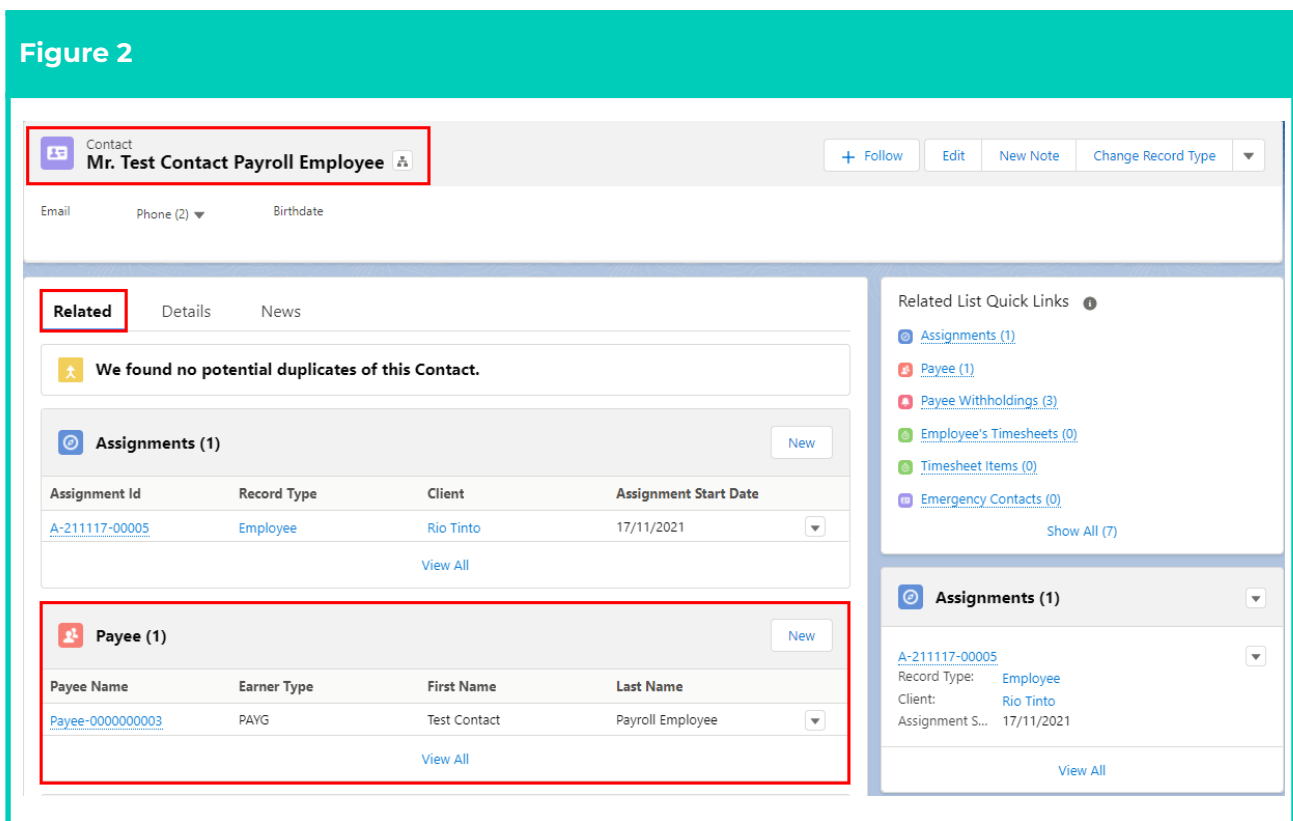
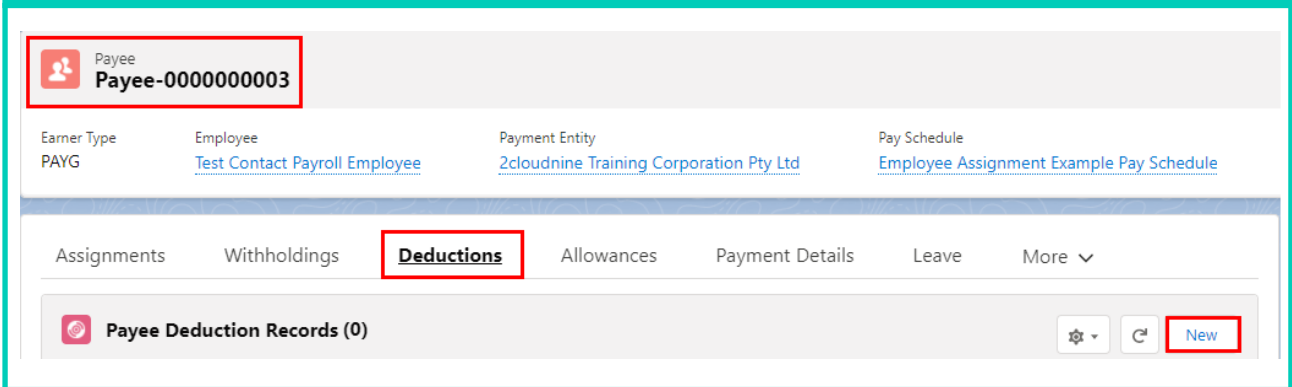


Figure 2



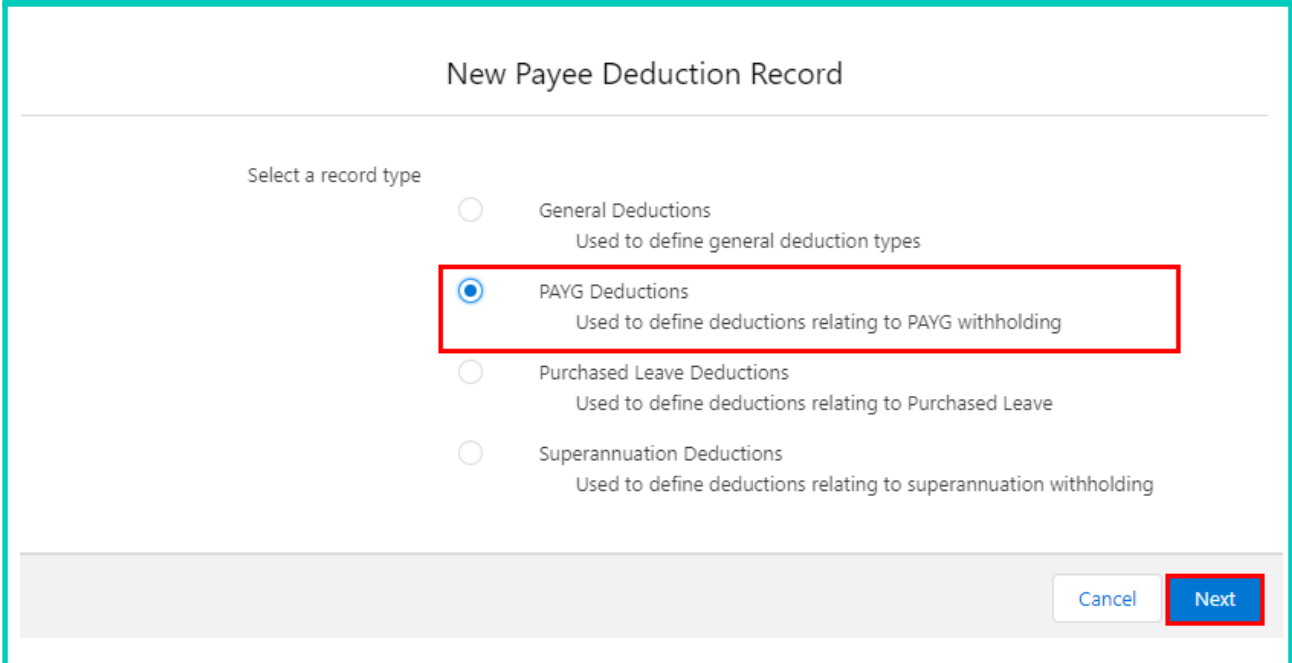
2. Click **Deductions** from the tab options (see Figure 3).
3. Click the **New** button.

Figure 3



4. Select **PAYG Deductions** from the available record types (see Figure 4).
5. Click the **Next** button.

Figure 4



6. If you are using Payee Deduction Templates, please proceed to step 7, otherwise you can skip to step 8.

7. Populate the following required fields **ONLY** if you are using the Payee Deduction Templates (see Figures 5 - 6):
 - a. **Payee Deduction Record**
 - b. **Payee Deduction Template**
 - c. **Employee**
 - d. **Payee**
 - e. **Payment Entity**
 - f. **Effective Date**
 - g. **Pay Code** - only if not populated on the Payee Deduction Template
 - h. **Deduction Rate Type**
 - i. **Deduction Rate**
 - j. **Pay To Withholding Record** - (picklist values will appear after the Payee field has been populated)
 - k. **Based on Quantity Worked**
 - l. **Status**
8. Populate the following required fields to provide the base details of the record. This step is applicable when you are **NOT** using the Payee Deduction Templates (see Figures 5 - 6):
 - a. **Payee Deduction Record**
 - b. **Payee**
 - c. **Employee**
 - d. **Payment Entity**
 - e. **Effective Date**
 - f. **Pay Code**
 - g. **Deduction Rate Type**
 - h. **Deduction Rate**
 - i. **Deduction Order**
 - j. **Based on Quantity Worked**
 - k. **Pay To Type (Payee Withholding)**
 - l. **Pay To Withholding Record** - (picklist values will not appear until the Payee field has been populated)
9. Populate the following optional fields as needed:
 - a. If the Payee Deduction is specific only to one Assignment, populate the **Assignment** checkbox. If blank, this Payee Deduction will apply to all Assignments for this Payee.
 - b. If the field Based on Quantity Worked is set to Yes, populate the optional fields **Quantity Worked Minimum** and **Quantity Worked Maximum**.
 - c. To prevent the Status of the Payee Deduction from being updated by the automatic status update scheduled job, populate the **Exclude From Auto Update** checkbox.
10. To define any required rules and limits that will be used in assessing and determining the Payee Deduction record, populate the following optional fields as needed. If left blank, the rule / limit will not apply.
 - a. **Expiry Date**
 - b. **Deduction Units**
 - c. **Total Deduction Limit**
 - d. **Quantity**
 - e. **Pay Calendar Period Deduction Limit**
 - f. **Protected Amount Applied**
 - g. **Is Rollover Underpaid Deductions?**
11. Click the **Save** button.



The Payment File for this deduction can not be automated within 2cloudnine Payroll, and will need to be created directly within your banking software.

Figure 5

New Payee Deduction Record: PAYG Deductions

Information

*** Payee Deduction Record**

Example PAYG Tax Deduction

Payee

Payee-0000000003

Employee

Test Contact Payroll Employee

Assignment

Search Assignments...

Payment Entity

2cloudnine Training Corporation Pty Ltd

Owner

Bianca Maxwell

Record Type

PAYG Deductions

Pay Batch Event

Search Pay Batch Events...

Exclude From Auto Update

☐

Pay Code and Rates

Effective Date

17/11/2021

Payee Deduction Template

Search Payee Deduction Templates...

Deduction Rate Type

Amount

Deduction Order

3

Expiry Date

Status

Pending

Pay Code

Example Tax Deduction Pay Code

Deduction Rate

75.000000

Deduction Units



An Assignment should only be entered if the Deduction is directly related to a specific role. If an Assignment is not entered, the Deduction will apply to all Assignments related to the Payee.



The Pay Batch Event field will be automatically populated upon saving the record, and should not be manually entered.



When Pay Transactions are created within a Pay Batch for PAYG Deductions, the Total Amount will be rounded to the nearest whole dollar.

Figure 6

Quantity Worked Deductions

Based on Quantity Worked ⓘ

No ▼

Quantity Worked Minimum ⓘ

Quantity Worked Maximum ⓘ

Deduction Limits

Total Deduction Limit ⓘ

Protected Amount Applied ⓘ

Quantity ⓘ

Is Rollover Underpaid Deductions? ⓘ

☐

Pay Calendar Period Deduction Limit ⓘ

Deduction Recipient

Pay To Type ⓘ

Payee Withholding ▼

Pay To Account Record ⓘ

Search Accounts...

Q

Pay To Withholding Record ⓘ

PW-0000000004

X

Deduction Payrun Statistics

Rolled Over Amount Withheld ⓘ

Rolled Over Amount Not Withheld ⓘ

Latest Deductions Date ⓘ

Rolled Over Amount Balance ⓘ

Number of Times Applied ⓘ

Amount Remaining ⓘ

Total Of Deductions Applied ⓘ

Cancel

Save & New

Save



The Based on Quantity Worked field is critical for Payees with Assignments that have Deductions which are reliant on scalable rates against actual hours processed within a Pay Batch for a particular Pay Calendar Period. This is not normally applicable for PAYG Payee Deductions.



The PAYG Payee Deduction Record must have a related record in the Pay to Withholding Record field, to ensure it's linked to the existing PAYG Withholding record associated with the Payee and will report as required for Single Touch Payroll Lodgements.



The Deduction Payrun Statistics will update automatically with historical statistics of the Deduction record, and should never be manually populated.



The Status of the record will be automatically updated upon saving the record, based on the Start Date and End Date.

A new **PAYG Payee Deduction Record** is now created (see Figure 7).

Figure 7



Payee
Payee-0000000003

Earner Type

PAYG

Employee

[Test Contact Payroll Employee](#)

Payment Entity

[2cloudnine Training Corporation Pty Ltd](#)

Pay Schedule

[Employee Assignment Example Pay Sched](#)

Assignments

Withholdings

Deductions

Allowances

Payment Details

Leave

More ▾


Payee Deduction Records (4)



[New](#)

4 items • Updated a few seconds ago

	☐ Payee Deduction Record ▾	☐ Pay Code ▾	☐ Effective Date ▾
1	☐ Example General Social Club Deduction	Workplace Giving	17/11/2021
2	☐ Example Super Salary Sacrifice Deduction	Super - Salary Sacrifice	17/11/2021
3	☐ General Payee Deduction from Template	Example Union Fees Deduction Pay Code	17/11/2021
4	☐ Example PAYG Tax Deduction	Example Tax Deduction Pay Code	17/11/2021

[View All](#)



Payee Deduction records CANNOT be deleted if they have related records or are used in other records. Deleting records is not recommended unless absolutely essential.

12. To modify an existing **Payee Deduction** record, open the required record and select the **Edit** button available on the top right side of the page. You can also double click within fields that need editing or just click on the pencil icon  that appears within fields when hovering with your cursor.
13. When complete, click on the **Save** button.

Field Descriptions

Assignment details if this Payee Deduction Record is specific to an Assignment. If no Assignment is entered, the Deduction will apply to Pay Transactions for all Assignments related to the Payee.

Based on Quantity Worked indicates whether the Deduction considers the quantity of units worked per Payee Pay Batch in the calculation of the Deduction Pay Transactions.

Deduction Order determines, after the application of being a pre-tax or post-tax deduction (as per the Associated Pay Code), the ascending order in which Payee Deduction records will be assessed during the creation of the Deduction Pay Transaction.

Deduction Rate defines the rate that will be used when calculating the deduction amount during the creation of the Deduction Pay Transactions.

Deduction Rate Type defines if the value outlined in the Deduction Rate field should be treated as a fixed amount or as a percentage of the Payee's earnings.

- **Amount** is the fixed amount to be deducted from the Payee's earnings for the pay period.
- **Percentage of Gross** is the amount to be deducted as a percentage of the Payee's Gross earnings for the pay period.
- **Percentage of OTE** is the amount to be deducted as a percentage of the Payee's Ordinary Time Earnings (OTE) for the pay period.
- **Percentage of Taxable Gross** is the amount to be deducted as a percentage of the Payee's Taxable Gross earnings for the pay period.

Deduction Units defines the number of units which will be deducted per calendar period if the selected Deduction Rate Type is Deduction Units x Deduction Rate.

Effective Date is the date the Deduction will become effective. Deductions will not be paid before this date.

Employee is the Employee record this Payee Deduction Record relates to. Must match the Employee of the Payee.

Expiry Date is the date the Deduction expires. Deductions will not be taken after this date. If blank, no expiry date applies.

Is Rollover Underpaid Deductions defines if deduction amounts that can not be withheld should be rolled over to be withheld in future payruns.

Pay Calendar Period Deduction Limit defines an upper limit to the Deduction amount that can be withheld on a per Pay Calendar Period basis. When Deductions are calculated, the Deduction amount withheld will be adjusted to ensure this amount is not exceeded. If blank, no limit applies.

Pay Code defines the Pay Code that will be used when a Deduction Pay Transaction is created.

Payee Deduction Record defines the name for the Payee Deduction.

Payee Deduction Template relates the Payee Deduction Record to a Deduction Template. Populating this field enables users to complete less fields and have them default according to the values in the Deduction Template.

Payee is the Payee record this Payee Deduction Record relates to.

Payment Entity is the Payment Entity this Payee Deduction Record relates to.

Pay To Account Record where the Pay To Type field is set to Account, this field defines the Account record that payments will be made to. This field should not be populated for PAYG Payee Deduction records, as the Pay To Type field should always be set to Payee Withholding.

Pay To Type defines how Deductions withheld should be paid forward. For PAYG Deductions, this should always be set to Payee Withholding.

Pay To Withholding Record is where the Pay To Type is Payee Withholding, defines the Payee Withholding Record detailing where the recipient payments should be made to. This should always be

Create a Payee Deduction - PAYG

populated for PAYG Payee Deduction records, and should indicate the PAYG Withholding record the Deductions should be forwarded to.

Protected Amount Applied is the protected net earnings beyond which this Deduction will not be calculated.

Quantity defines the number of times the Deduction will be taken. If blank, no limit applies.

Quantity Worked Maximum is the maximum number of hours that may be applied to the Deduction, if the actual hours worked for the period are less than or equal to this value.

Quantity Worked Minimum is the minimum number of hours that may be applied to the Deduction, if the actual hours worked for the period are greater than or equal to this value.

Total Deduction Limit defines a maximum limit to the Deduction amount that can be withheld for the Deduction. When Deductions are calculated, the Deduction amount withheld will be adjusted to ensure this amount is not exceeded. If blank, no limit applies.

Further Information

Document	Document Type	Description
QRG Create a Payee record	Task Instructions	How to create a Payee Deduction
QRG Create a Payee Deduction - Purchased Leave	Task Instructions	How to create a Purchased Leave Payee Deduction
QRG Create a Payee Deduction - Superannuation	Task Instructions	How to create a Superannuation Payee Deduction
QRG Create a Payee Deduction - General	Task Instructions	How to create a General Payee Deduction
QRG Create a Payee Deduction Template	Task Instructions	How to create a Payee Deduction Template